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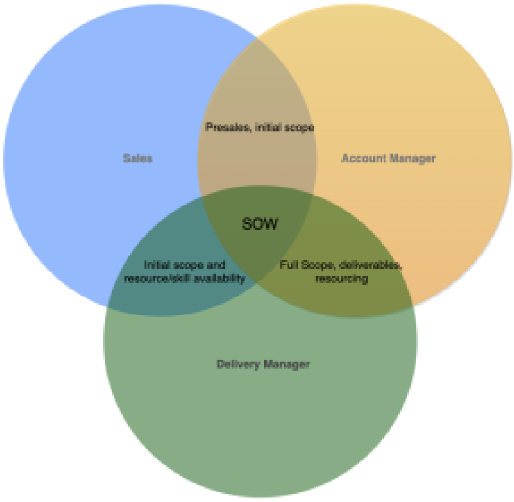
The Delivery Manager should be involved in contract preparation and negotiation to ensure that terms meet both the customer's and EPAM team's needs, fostering successful relationships. While the Account Manager is responsible for the Statement of Work (SOW), the technology team, design team, and project managers must inform them. The Delivery Manager supports the Account Manager with clauses related to delivery, such as rotations, rate increases, SLAs, scope of work, and penalties/bonuses.

Overall, the DM's involvement helps clearly define the scope and responsibilities, ensuring smooth account/project operation and strong customer relationships.

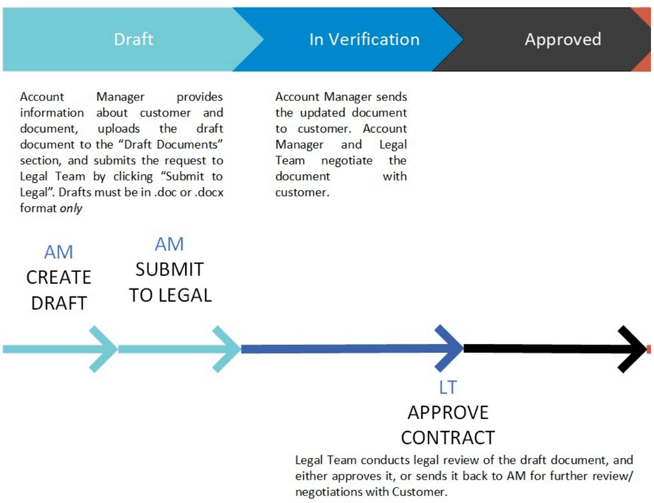


Contract submitting workflow

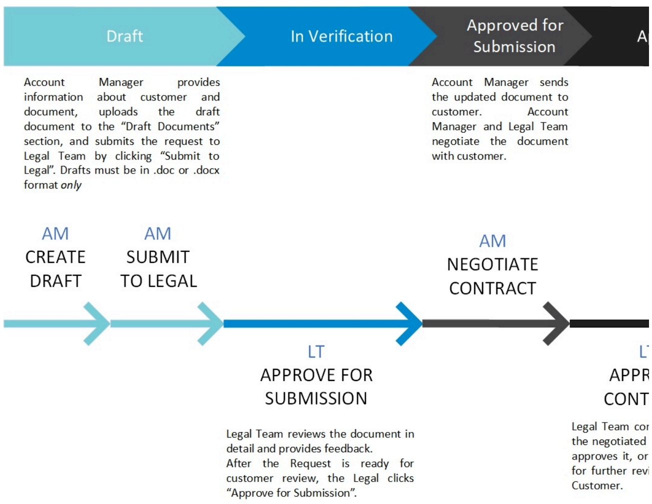
A contract can follow either a detailed or a streamlined workflow. Once the contract is submitted to the Legal department, the Legal team determines the suitable workflow:

- If additional negotiations with the customer are required, the Legal team chooses the detailed workflow.
- On the other hand, if no further negotiations are needed and the contract is ready for signing, the Legal team selects the streamlined workflow.

Expand | Streamlined



Expand | Detailed



Info

The Deal Approval process ensures business opportunities get appropriate reviews from BU Heads, Operations, Delivery, Staffing, and Legal teams. This process is mandatory at the GBU level for all Opportunities created there.

Note that the EU and NA GBUs have different deal approval approaches. More details can be found here:

- EU Deal Approval
- NA Deal Approval

Account Manager role in contract signing

To successfully carry out that role, the Account Manager must also ensure that EPAM follows the correct processes in reviewing and negotiating the contract, ensuring that we, as a company, can profitably provide the contracted services while complying with all its terms. During the contract negotiation process, an AM must:

- Ensure that all contracts go through the CRM legal request process, regardless of their size or complexity. This is a Board-level requirement stemming from US Signature's status as a billion-dollar publicly traded company. US Signature will not sign a contract if it is not in CRM.
- Submit the contract to the Legal team via CRM in Word format before the client signs it. When the client signs a document before Legal has released it for EPAM signature, you place yourself in an uncomfortable position if Legal finds issues with it. You will need to go back to the client for changes, or you may need to escalate as much as Ark to obtain EPAM's approval of a flawed contract.
- Ensure that the Opportunity linked to the contract is submitted for Deal Approval **prior** to sending it to legal. This allows colleagues within Delivery and Staffing (if applicable) to provide input to the contract for legal to review.
- Confirm that all relevant people within EPAM review and provide input on the contract. The legal team will identify the required reviewers. The Account Manager's responsible for engaging and following up with them.
- When differences arise between EPAM and the client, the Account Manager is responsible for understanding both EPAM's and the client's positions and negotiating on behalf of EPAM to ensure that the contract addresses EPAM's business interests.
- Negotiation on behalf of EPAM is critical when contractual terms need approval from the Executive Committee (i.e., CEO/CFO/General Counsel). Before requesting executive approval of terms representing material commercial risks, the AM, BU Head, and GBU Head must first make substantial efforts to negotiate reasonable commercial terms with the Customer.

Delegating EPAM Responsible Person role (ERP)

Sometimes, the AM role in the contract process must be delegated to someone without an AM title.

What approvals are needed for delegation?

- The BU Head must approve it in writing, as documented by BU Operations.
- For acquisitions, integration-related roles must match our Account Manager role.

Update the ERP field in the Contract Request to finalize delegation.

Once designated, they require appropriate training (assigned by the BU Ops Manager), and the ERP must handle all legal comments.

What responsibilities can the AM delegate?

The AM (or Account Business Operations Coordinator) must create the Opportunity—this should not be the responsibility of BU Ops, BPS, or FP&A. However, creating the SOW or CO from an Opportunity can be delegated. The person assigned must have context on the entry and be authorized to update the document.

The ERP must respond to legal comments on behalf of the AM and state that the response is "by direction from the Account Manager." Legal will push back if it’s unclear whether the response is on behalf of the AM.

The ERP also executes the signature workflow on the contract.

Contract preparation

> 1. Every contract must define the following: deliverables, acceptance criteria, payment conditions (when and how much we are paid), dependencies, and assumptions. Changes require a change control process.
> 2. Dependencies and Assumptions—specify these in detail. A dependency requires the customer to act (e.g., provide information or access the Internet). An assumption is unvalidated information or circumstances we consider trustworthy. We should change performance conditions if dependencies are unmet or assumptions are incorrect.
> 3. Customers prefer fixed-cost contracts. Sometimes, when we do T&M, it’s covered by FC contracts signed after work is completed. They want minimal costs and maximum results, like any customer. However, acceptable documentation or project vision is often lacking, making proposal preparation difficult. Usually, you have only days, not weeks or months, to clarify details and create a proposal,

> including a draft contract. To manage risks and provide a competitive price, it’s advisable to phase the project: divide it into two phases, estimate the first (analysis) separately, then perform the analysis, understand requirements, and re-estimate the rest as FC.

Delivery Manager's input in SOW preparation

SOW Chapters	Sub-chapters	Scope	Input
Executive summary		• The engagement model; • The goals of the project in a few sentences; • The known costs (either the overall or the monthly cost, depending on model), e.g. service fee, licenses, h\w procurement, etc. • Marketing information about EPAM (optional).	• The engagement model identified in an unambiguous way, explicitly stating if it is a Time & Materials, Fixed price, Offshore Development Center based engagement; • Goals should be reviewed to make sure that they are in line with project scope
Terms of SOW		MSA-dependent standard terms: • Validity of a SOW in terms of from-to dates, and if it is open for extensions; • Termination clause including notice period and who and under what conditions can terminate the T&M-based contract. • Consequences of termination (optional); • Reference to a valid Master Service Agreement (MSA) signed by both parties as the framework of the Statement of Work. All terms and conditions described in the MSA must remain in act that are not described or overwritten by the SOW.	• In case of termination what steps must be done for both parties to close the project properly; • Make sure terms and conditions in MSA and SOW do not collide unless explicitly agreed by both parties.
Contacts and Responsibilities	*Executive sponsors*	Client and EPAM Executive Sponsors	

<table>
<tr><th>SOW Chapters</th><th>Sub-chapters</th><th>Scope</th><th>Input</th></tr>
<tr><td></td><td></td><td>details</td><td></td></tr>
<tr><td rowspan="4">Project scope</td><td>Project initiation and planning</td><td>Project kick-off details, development of a detailed project plan</td><td><blockquote>In case of taking a previously implemented system by third parties or EPAM as the baseline of development, there must be defined the description of the baseline system and other taken artifacts very thoroughly. This must include version of the software taken, list of known defects, available documents and their versions.</blockquote> Realistic delivery dates, the client's availability for workshops and interviews </td></tr>
<tr><td>Information Architecture (optional)</td><td>Documentation on information architecture</td><td></td></tr>
<tr><td>Visual design (if applicable)</td><td>Number of concepts, templates, pages, etc., and their scope</td><td>Client review schedules, deliverables review for ambiguity</td></tr>
<tr><td>Technology build and QA</td><td>Development and testing scope</td><td> Deliverables review for ambiguity, post-testing bug fixes scope and timing Test Data Privacy Disclaimer The document must include an agreement with the Customer that tests are performed using a complete and representative set of test data instead of production data: If EPAM generates test data, this will be done automatically using random data generators thus eliminating any connection with real information;
When Customer provides test data in any means (e.g. complete data sets or samples), the Customer has to state that the provided data is not production data. Sample contract content: For Functional and Performance test purposes EPAM will only use complete and representative set of fictitious test data, production data can only be used as test data after de- </td></tr>
</table>

SOW Chapters	Sub-chapters	Scope	Input
			sensitizing it. All data sets provided by the Customer for testing purposes will be by default treated as test data, EPAM will not accept production data without prior written agreement.
	Acceptance procedure and criteria	Process for acceptance of deliverables, change request process	Client feedback and review timings, acceptance terms, what happens if deliverable is rejected: • How an acceptance procedure to be executed; • Deliverables; • What basis is required to start an acceptance procedure; • Acceptance period; • Responsibilities and resource commitment of the customer during the time of acceptance testing; • When product has to be accepted and when not; • How issues are recorded; • A suitable timeframe for correcting issues; • Escalation procedure if acceptance is failed during the acceptance period. The SOW must define the acceptance criteria in clear, unambiguous terms. The criteria must define: • What requirements the application has to fulfill; • How it will be verified; • When and who will verify and approve the pass of acceptance, the length of verification.
	Post launch support	Resources and duration of post-launch support, change request process for increasing/decreasing support levels, SLA	Pay attention to the following: • SLA definitions; • defined duration; • allocated resources.
	Project and Account Management	Core team responsibilities	• DM responsibilities
Deliverables Summary		Summary of deliverables with ID, short description and format of delivery	Overall check List of physical deliverables • if necessarily the short description of the items;

SOW Chapters	Sub-chapters	Scope	Input
			• how it will be delivered (sftp, physical media) Note: the key point is to ensure the secure way of the data transfer, i.e. simple ftp upload to the Customer is not acceptable, simple ftp upload to Customer via VPN connection is acceptable.
Team structure and location		Defines the structure of a team(s) provided by EPAM, the resource types.	• Consider the location/Rate card for your account, including onsite team setup • Create a high-level plan for people setup and utilization, considering all project phases • Estimate per project phase (Discovery, Initiation, Development, Rollout, Release, Post-release hypercare) • Estimate per project roles involved (Development, QA/Automation QA, DevOps, BA, Management, Other roles) • Handle specific names in the contract, stating backup key person if unavailable • Define resource commitments needed from the client • Define broad location terms for task mobility (e.g., EPAM Offshore development centers) • Detail conditions for onsite work, including cost specifics • Note if onsite work is not expected and explain changes needed for onsite work 1. Detailed Resource plan template - Resource Plan template.xlsx 2. Simple Resource plan template - SimpleProjectResourceP.xlsx
Project Timeline		Milestone summary with target dates	Overall check
Change management		Defined process for raising change requests, timing of reviews and approvals	> Can be a part of MSA Direct input into defining the process. It should include:

SOW Chapters	Sub-chapters	Scope	Input
			• Authorization process; • Format of change requests; • Format of proposal for implementing the change request; • Describe the way of SOW extension authorizing the scope change, resource and timeline changes and updating commercial terms.
Warranty conditions		In case of fixed price projects, sometimes EPAM offers warranty services after delivering the software and finishing transition phase.	Make sure warranty conditions include: • Duration of warranty period after final release; • Number and type of defects to be resolved by EPAM for no extra charge; • Responsibility in deploying the application on production server; • Priority\Severity driven SLA for issue acknowledgement and for fix of an issue. • Sometimes SoW should include definitions of issues priority\severity
Assumptions and Responsibilities	*Key Assumptions*	Key assumptions on EPAM and client availability, project cancellation, etc.	Assumptions in terms of delivery dependencies, definitions • In order to complete the envisaged tasks in the timeframe outlined in the SOW the dependencies shall be identified
	Client Responsibilities	List of client responsibilities - providing information, access, etc.	Check the following: • Responsibilities of the customer or a link to the artifact where the responsibilities are manifested; • Timing on a client side. • Deliverables sanity check
Exclusions		List of exclusions from current project	Overall check
Invoicing and Payment		Fixed fee terms and T&M rates	Costs • Known expenses billable to the customer include hardware leasing and third-party software purchases. Describe non-standard software requirements and licenses with corresponding costs. • Travel expenses. • Indirect costs like training, business trips, licenses, communication tools,

SOW Chapters	Sub-chapters	Scope	Input
			hardware, and third-party services. • Cloud services, including instances, utilization, and API keys. Payment Terms • How EPAM provides the described services (FIX Price, T&M etc.) ; • How and when payment is carried out; • If payment will be processed based on a milestone delivery, the section should define the %, time and amount of payment;
Non-solicitation		Standard EPAM legal notice, if not already included in MSA	
Limitation of Liability		Standard EPAM legal notice, if not already included in MSA	
Signature		This section contains legally binding signatures of the Customer and EPAM	A name, position and signature must be specified.

Additional Information

Distinguishing between Fixed Price and Time & Material

This section provides guidance on the differences among Fixed Fee and the two major types of T&M projects (T&M with Deliverables and Staff Augmentation) based on the contractual terms that define them.

Contract Term	T&M - Staff Aug	T&M with Deliverables and/or SLAs	Fixed Fee	Comments
Contract includes Scope, Deliverables, Service Level Commitments, and/or Milestones	Not Appropriate	Appropriate	Appropriate	Staff Aug contracts may have a scope section that describes the type of work that the individuals will perform. Staff augmentation will not have specific deliverables, delivery service level commitments, or delivery milestones. Scope, Deliverables, and Milestones must be described with increasing detail the more risk the project has. Fixed Fee is the highest risk and requires the greatest level of detail.
EPAM has right to stop work when budget cap is reached (or the estimate is exceeded)	Appropriate	Appropriate	Not Appropriate	For Staff Aug and T&M work, it is essential that EPAM has the right to stop work if the customer has not agreed to continue to pay us. The best way to be sure there is no implied commitment is to explicitly include a 'pencils down' term that

				states this right. Not required, but if this term is missing, then there is some business risk. If EPAM is committed to continue work until an outcome is reached, then the project should be considered as **Fixed Fee/T&M Not to Exceed** (see note below).
Financial terms include a Spending Cap	Sometimes Appropriate	Sometimes Appropriate	Not Applicable	Customers may ask for a Spending Cap tied to an estimate in order to give them more control over the project expenditures. It must not imply any commitment that EPAM will complete a specific outcome before the project reaches that Spending Cap. Financials terms for Fixed Fee are based on a specific set of outcomes. A Spending Cap would have no meaning.
Payment is based on an outcome (e.g, Deliverable, Milestone)	Not Appropriate	Not Appropriate	Appropriate	Payment for T&M projects must always be based on hours worked.
Payment is based on time and rates	Appropriate	Appropriate	Not Appropriate	See note below on **FF/T&M not to exceed**.
Warranties	Not Appropriate	Sometimes Appropriate	Appropriate	Warranties present issues for T&M projects. In general, on a T&M project EPAM should be paid T&M rates for rework. For Staff Aug work, where EPAM employees are managed by the customer, warranties are completely inappropriate. For T&M work with deliverables, warranties may be appropriate, but we need to be careful about the additional business risk we are taking on. See the section on Warranties below.

Region-specific considerations

CIS

1. Organizational structure & communication plan must be present – must provide a high-level diagram of the team, a version of the communication plan, and describe each role (with corresponding responsibilities) with as much details as possible. CIS customers love to control everything, including fixed price deals. Important – they love to **control and manage everything directly**, not only requiring EPAM **to be transparent**. So you have to specify responsibilities for EPAM and the customer, and try to stick to them. And try to avoid set-ups with no managers or leads on our side (very often such setups lead either to a failed project with customer blaming EPAM for everything, or the whole team leaving EPAM and moving to the customer's IT)
2. All voice, e-mail, and skype agreements with the customer must be covered by the contract.

APAC

- One of the main challenges in APAC is the large number of legal jurisdictions, which impact contracts.
- In some jurisdictions, for example, China and Japan, local language only is legally recognized in contracts. Dual language contracts are usually signed; before signing contract, EPAM needs to establish which language version has priority.
- When executing a document, need to establish the correct person to sign.
- There are also local laws, for example strict overtime rules in China, that need to be reflected in SOW.
- In China and HK, a signature alone does not count; the contract needs a company seal, or a company stamp.

Commercial Forms/Agreements

- Accelerator License Template
- Customer's Approval of Open Source or Third Party Software
- Data Processing Agreement (DPA)
- Evaluation Agreement Template
- H-1B
- License Agreement Templates
- Master Services Agreement (MSA) Templates
- Statement of Work (SOW) Templates
- Non Disclosure Agreement (NDA) Templates
    - EPAM Individual Undertaking Relating to Status, Confidentiality and IP
    - EPAM Mutual NDA Templates
    - EPAM RU NDA Templates
    - EPAM Three-Party NDA Templates
    - EPAM Vendor NDA Templates
- Statement of Work (SOW) Templates
- T&M Services Letter Agreement

References

- Contract negotiations: how to prepare, negotiate and sign good contracts
- Fixed price SOW check-list
- Role of Account Manager in Contract Workflows
- Fixed-Price Projects Management
- Commercial Forms/Agreements
- Engagement Management Guide
- Commercial Models for Projects
- Engagement Models
- Project Management Templates
- PM artifacts
- Fixed-price project initiation – tips and tricks
- Fixed-Fee: General overview
- Writing Great Contracts (course)

Files